size premium has largely disappeared since at least the 1980s.[7] Shumway and Warther (1997) concluded the small-cap anomaly was likely driven by a mistake in how researchers treated missing data for delisted stocks, which were mostly small caps. Highly illiquid, difficult-to-trade microcaps drive whatever size effect that might still exist. This suggests that the small-size premium may actually be compensation for liquidity risk.

Small-size stocks have more liquidity than they used to, however, because of the proliferation of funds that jumped on the small-cap bandwagon. In 1981, Dimensional Fund Advisors (DFA) dedicated its first stock fund to small-cap equities. It did this shortly after Rolf Banz published a paper based on his University of Chicago PhD dissertation that identified a small-cap premium from 1936 through 1975. DFA soon had several small-cap funds to take advantage of this perceived anomaly. Many other small-cap funds followed soon thereafter.

Increased participation in small caps may explain why the small-size premium has become statistically insignificant since the early 1980s. For example, from December 1978 through 2013, the Russell 2000 Index generated an annualized return (12.1%) almost identical to the larger-cap Russell 1000 and S&P 500 Indexes (12.0%). Small-cap stocks actually underperformed their large-cap counterparts in Europe and Asia from July 1990 through 2013.

Small caps often are inconsistent performers, having underperformed large caps for decades at a time, such as during the 1950s and 1980s. Israel and Moskowitz (2013) recently completed the most current analysis of the size premium. Using 86 years of U.S. stock data from July 1926 through December 2011, they found no evidence of a significant small-size premium over the entire sample, or over any of the four 20-year subperiods. Small size no longer offers abnormal risk-adjusted profits except in illiquid microcaps. Since microcap stocks are more costly and difficult to trade, most investors, particularly institutional ones, avoid this area of the market. Small-cap stocks may add some diversity to a large-cap portfolio, but they also add considerable volatility and nothing in the way of abnormal returns.

DOES VALUE REALLY MATTER?